DECREASING VOLATILITY AS A CRYPTOASSET MATURES

Greater trading volumes, liquidity, exchange diversity, and trading pair diversity all lead to more resilience in the market. The cryptoasset is better able to absorb shocks without wild price swings—or at least with price swings that are diminishing in severity over time—which translates into a decrease in volatility.

We should expect to see decreasing volatility in cryptoassets when we plot this volatility over time. Since we already covered bitcoin's decreasing volatility in Chapter 7, we will showcase the other cryptoassets here. Figures 9.6, 9.7, and 9.8 show the volatility of ether, ripple, and monero over time. The following figures were made using CryptoCompare data, which provides similar graphs for other cryptoassets.[12]

From these trends, we can infer that this declining volatility is a result of increased market maturity. Certainly, the trend is not a straight line, and there are significant bumps in the road, depending on particular events. For example, monero had a spike in volatility in late 2016 because it experienced a significant price rise. This shows that volatility is not only associated with a tanking price but also a skyrocketing price. The general trend, nonetheless, is of dampening volatility (while not pictured in the following figures, Q2 and Q3 of 2017 were quite volatile for cryptoassets, underscoring that decreasing volatility will not unfold in a straight line).